iM Financial Group (139130 KS)

Earnings, shareholder returns improving

Do-hyeong Woo
Financials
dohyeong.woo@yuantakorea.com

BUY (M)

Target price	W24,000 (M)
Previous target price	W24,000
Current price (Oct 27)	W14,880
Upside potential	61%

Market cap (Wbn)	2,356
Shares outstanding	158,363,408
Avg daily T/O (2M, Wbn)	8
Avg daily volume (2M, shrs)	452,260
52-week high/low (won)	21,650 / 13,230
Foreign ownership (%)	44.85%
Dividend yield (%)	4.30%
Major shareholders	OK Capital & others

Stock performance

(%)	1M	3M	12M
Absolute	(16.5)	(17.7)	9.4
Relative	4.9	(1.4)	(21.5)
Abs (US$)	(14.3)	(8.7)	18.3

3Q26 net profit misses consensus

iM Financial Group's 3Q26 net profit attributable to controlling interest came to W120.7bn, missing consensus of W139.3bn by 13.3%, as expanded market volatility led to lower non-interest income. Notable one-off items included the preemptive recognition of about W9.7bn in 4Q26 SG&A expenses (W5.5bn in Chuseok bonuses and W4.2bn in early execution of voluntary retirements costs), and W13bn in bank real estate disposal gains booked under non-operating income. Group interest income grew 7.2% QoQ. Bank interest income remained almost flat QoQ, with bank won-denominated loans increasing 3.0% (+7.4% YTD) and NIM falling 3bp. However, interest income at the securities subsidiary improved. Group non-interest income fell sharply QoQ due to declines in commissions income and securities valuation gains. Credit cost rose slightly on base effect from low provisions in 2Q26. CET-1 ratio came to 12.39% (+12bp QoQ). At the securities subsidiary, although brokerage income fell by W20bn QoQ, net operating revenue increased QoQ thanks to W10bn in PF loan recoveries, a W13bn rise in wholesale net operating revenue, and a W7bn boost from the newly established Capital Markets Division.

Share buyback to be announced after November board meeting; value-up plan in December

At the 2Q26 earnings release, the firm announced a W30bn share buyback running through Oct 28. We expected the company to announce an additional buyback plan at the 3Q26 earnings release, but it plans to make the announcement following a November board meeting after the current trust contract expires. The buyback size is estimated at around W20bn. Accordingly, the expected 2026 total shareholder return ratio is 43.6%, with a year-end 2026 total shareholder return yield of 8.6% (dividends 4.7%, treasury shares 3.9%). A new mid- to long-term corporate value-up plan will likely be unveiled as early as December.

Maintain BUY and target price of W24,000

We maintain BUY and target price of W24,000 on iM Financial Group. The company plans to implement a capital reduction dividend starting next year, and since it currently pays only a year-end dividend, we expect its dividend appeal to be relatively high compared with peers. Despite high won-denominated loan growth, the company is maintaining low RWA growth by focusing on collateralized loans to large companies, and we expect both earnings and total shareholder return ratio to show solid improvements

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	529	4.8	-5.4	550	-3.8
SG&A expense	280	14.8	-5.8	266	5.4
Provisions	85	-18.8	8.1	92	-7.6
OP	164	4.9	-10.6	192	-14.8
Consolidated NP	127	1.3	-12.4	149	-14.6
NP, CI	120.7	-1.4	-14.5	139.3	-13.3

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	2,082	2,052	2,161	2,285
OP	263	583	599	689
NP, CI	215	444	458	526
P/E (x)	6.3	5.6	5.1	4.3
P/B (x)	0.26	0.47	0.42	0.38
ROE (%)	3.6	7.3	7.3	8.0
ROA (%)	0.2	0.5	0.4	0.5

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

iM Financial Group: quarterly earnings (consolidated)

(Wbn, %)	3Q26P	Consensus	vs cons.	YoY	QoQ	3Q25	2Q26
Net op revenue	529	550	-3.8	4.8	-5.4	505	559
OP	164	192	-14.8	4.9	-10.6	156	183
Net profit, CI	120.7	139.3	-13.3	-1.4	-14.5	122	141

Note: CI = controlling interest
Source: company data, Yuanta Securities

iM Financial Group: earnings forecast

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	521	541	505	484	550	559	529	523	2,052	2,161
Net interest income	403	407	417	429	422	422	453	439	1,656	1,735
Non-interest income	118	134	89	55	128	137	77	83	396	425
Net commission	52	56	51	59	85	83	70	64	218	301
Other non-interest	67	78	38	-4	44	54	7	19	178	124
Selling & admin expense	242	258	244	386	268	298	280	386	1,131	1,232
Pre-provisioning OP	279	283	261	98	281	262	249	137	921	929
Provisions	70	84	105	78	87	79	85	79	338	331
OP	209	199	156	20	194	183	164	58	583	599
Non-operating profit	-3	-1	6	-4	7	2	7	-2	-2	15
Pre-tax profit	206	198	162	16	201	185	171	56	582	613
Consol. net profit	159	159	125	14	158	145	127	47	458	477
Controlling interest	154	155	122	12	155	141	121	42	444	458
Won-denominated loan growth (bank)	-0.1	0.4	0.9	-0.5	2.7	1.5	3.0	0.5	0.8	7.9
% of non-interest income	22.7	24.8	17.5	11.4	23.3	24.5	14.5	16.0	19.3	19.7
NIM (bank)	1.78	1.77	1.82	1.83	1.82	1.82	1.79	1.80	1.80	1.81
CIR (%)	46.5	47.7	48.3	79.7	48.8	53.2	53.0	73.8	55.1	57.0
CCR (bp)	0.43	0.52	0.64	0.47	0.51	0.45	0.48	0.44	0.51	0.46
NPL ratio	1.63	1.64	1.51	1.49	1.38	1.41	1.18	1.17	1.5	1.2
NPL coverage ratio (%)	95.5	90.5	95.3	91.1	93.6	82.2	89.9	91.7	91.1	91.7
CET-1 (%)	12.03	12.15	12.09	12.11	11.99	12.27	12.39	12.33	12.11	12.33
ROE (%)	10.3	10.3	8.0	0.8	9.9	9.0	7.6	2.6	7.3	7.3
ROA (%)	0.6	0.6	0.5	0.0	0.6	0.5	0.4	0.2	0.5	0.4
Equities	5,945	6,081	6,227	6,220	6,218	6,371	6,353	6,400	6,220	6,400
Assets	97,635	100,160	102,626	98,861	105,508	107,856	108,405	110,249	98,861	110,249

Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Oct 7, 2026)	New (Oct 28, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)	%	10.3	10.8	
Risk-free rate	(a)	%	3.3	3.4	Monetary stabilization bond 1yr 3M
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.8	0.8	104-week adjusted beta
Ri	(d)	%	3.1	3.6	Reflected additionally given past COE level
Average ROE	(B)	%	7.6	7.9	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	Min (ROE x retention ratio, 30-yr KTB's recent 3-mo avg yield)
Target P/B	(A=(B-D)/(C-D))	x	0.53	0.54	
12-mo-fwd BPS	(E)	won	45,867	44,712	
Target price	(A*E)	won	**24,000**	**24,000**	
Current price (Oct 27)		won		14,880	
Upside potential		%		61.3	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	**2027E**	**2026E**	**2027E**	**2026E**	**2027E**
Net op revenue	2,169	2,269	2,161	2,285	-0.4	0.7
OP	597	659	599	689	0.3	4.5
Net profit, CI	466	508	458	526	-1.8	3.5

Source: Yuanta Securities

iM Financial Group (139130 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	1,686	1,656	1,735	1,783	1,817
Interest income	4,175	3,804	4,021	4,605	4,840
Interest expense	2,489	2,149	2,286	2,822	3,023
Non-interest income	396	396	425	503	559
Net commission	191	218	301	311	339
Other non-interest	204	178	124	191	220
Net operating revenue	2,082	2,052	2,161	2,285	2,376
Selling and admin expense	1,078	1,131	1,232	1,282	1,327
Pre-provision operating profit	1,004	921	929	1,004	1,049
Provisions	740	338	331	317	310
Operating profit	263	583	599	689	742
Non-operating profit	-11	-2	15	0	0
Pre-tax profit	253	582	613	689	742
Income tax	51	124	137	147	162
Tax rate	20	21	22	21	22
Consolidated net profit	202	458	477	542	579
Controlling interest	215	444	458	526	563
Non-controlling interest	-13	14	19	16	16

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	4,126	4,641	5,530	5,754	5,981
Securities	20,897	24,145	25,368	26,395	27,436
Loans	65,701	66,062	71,894	75,177	78,603
Tangible and intangible assets	1,216	1,178	1,158	1,155	1,155
Other	2,209	2,836	6,299	6,231	6,062
Assets	94,149	98,861	110,249	114,713	119,237
Deposits	59,807	59,344	65,332	68,462	71,548
Borrowings	17,528	20,971	23,519	24,646	25,756
Other	10,608	12,109	14,578	14,402	14,391
Liabilities	87,943	92,424	103,428	107,510	111,695
Equity, controlling interest	5,991	6,220	6,400	6,781	7,120
Capital stock	846	846	846	846	846
Hybrid bond	813	863	863	863	863
Capital surplus	1,563	1,563	1,273	1,273	1,273
Retained earnings	3,385	3,631	4,211	4,593	4,932
Other comprehensive income	-615	-683	-793	-793	-793
Equity, non-controlling interest	215	217	422	422	422
Equities	6,206	6,437	6,821	7,203	7,542

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.91	1.80	1.81	1.78	1.72
ROE	3.6	7.3	7.3	8.0	8.1
ROA	0.2	0.5	0.4	0.5	0.5
CIR	51.8	55.1	57.0	56.1	55.9
Asset growth	0.8	5.0	11.5	4.0	3.9
Loan growth	5.3	0.5	8.8	4.6	4.6
Net profit growth	-44.6	106.6	3.2	14.7	7.2

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	1,292	2,764	2,925	3,465	3,740
BPS	31,119	33,352	35,339	39,022	41,529
DPS	500	700	700	730	750
P/E	6.3	5.6	5.1	4.3	4.0
P/B	0.3	0.5	0.4	0.4	0.4
Dividend payout ratio	38.7	25.3	23.9	21.1	20.1
Dividend yield	6.1	4.5	4.7	4.9	5.0

Adequacy indicators (%)

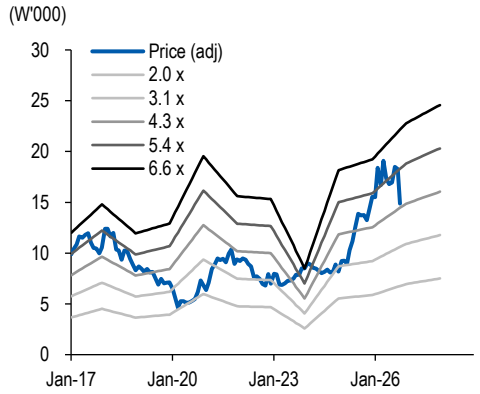
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	14.6	14.8	15.1	15.1	15.0
Tier 1 capital ratio	13.3	13.8	14.3	14.2	14.2
CET1 capital ratio	11.7	12.1	12.3	12.4	12.4

Asset quality indicators (x, %)

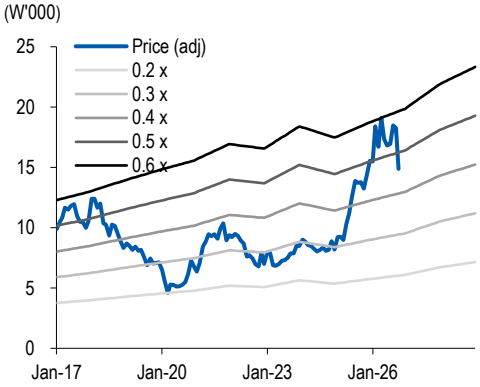
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	1.6	1.5	1.2	1.1	1.1
NPL coverage ratio	101.2	91.1	91.7	93.0	94.5
CCR	1.1	0.5	0.5	0.4	0.4

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

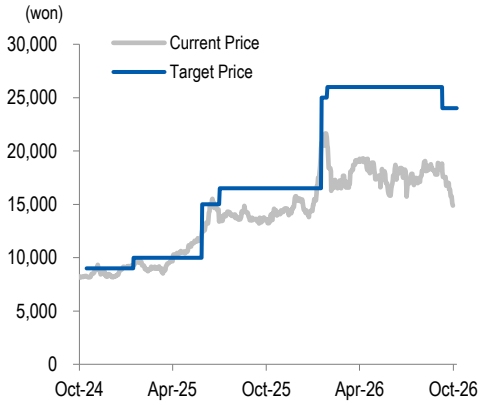
P/E band chart



P/B band chart



iM Financial Group (139130 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/28	BUY	24,000	1 yr		
2026/10/07	BUY	24,000	1 yr		
2026/02/24	BUY	26,000	1 yr	-31.59	-21.73
2026/02/13	BUY	25,000	1 yr	-15.40	-13.40
2025/07/29	BUY	16,500	1 yr	-12.71	22.73
2025/06/25	BUY	15,000	1 yr	-5.86	3.40
2025/02/11	HOLD	10,000	1 yr	-0.81	21.30
2024/11/11	HOLD	9,000	1 yr	-3.73	3.67
	Analyst changed				

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 28, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

Analyst certification

I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

Stock and sector ratings

- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

Global disclosures & disclaimers

This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only. It is copyrighted material and may not be reproduced, transmitted, quoted, or distributed in any manner without the prior written consent of Yuanta Securities Korea Co., Ltd.

As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not own 1% or more of the subject company's shares outstanding. As of the date of publication of this report, Yuanta Securities Korea Co., Ltd. does not have any special interests in the subject company.

The material contained herein was not disclosed by Yuanta Securities Korea Co., Ltd. to any institutional investors or third parties prior to its publication. The analyst (s) of this report or the analyst (s)' spouse does not have any financial interest in the securities of the subject company (ies) mentioned herein, nor financial interest of any nature related to the subject company (ies) (including without limitation, whether it consists of any option, right, warrant, future, long or short position), as of the publication date of this report.

NOTICE TO US INVESTORS: This research report is the product of Yuanta Securities Korea Co., Ltd., which is the employer of the research analyst(s) who has prepared the research report. The research analyst(s) preparing the research report is/are resident outside the United States (US) and are not associated person(s) of any US regulated broker-dealer and therefore the analyst(s) is/are not subject to supervision by a US broker-dealer, and is/are not required to satisfy the regulatory licensing requirements of FINRA or required to otherwise comply with US rules or regulations regarding, among other things, communications with a subject company, public appearances, and trading securities held by a research analyst account.

Research reports are intended for distribution only to Major U.S. Institutional Investors as defined by Rule 15a-6(b)(4) of the US Securities and Exchange Act of 1934 (the Exchange Act) and interpretations thereof by the U.S. Securities and Exchange Commission (SEC) in reliance on Rule 15a-6(a)(2). If the recipient of this research report is not a Major US Institutional Investor as specified above, then it should not act upon this report and return the same to the sender. Further, this report may not be copied, duplicated, and/or transmitted onward to any US person which is not a Major US Institutional Investor. In reliance on the exemption from registration provided by Rule 15a-6 of the Exchange Act and interpretations thereof by the SEC in order to conduct certain business with Major US Institutional Investors, Yuanta Securities Korea Co., Ltd. has entered into a Strategic Partnership and chaperoning agreement with a U.S. registered broker-dealer: BancTrust Securities USA. Transactions in securities discussed in this research report should be affected through BancTrust Securities USA.

Yuanta Securities (Korea) International Network

Seoul

Head Office
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Research Center
anchor1, 39 Gukjegeumyung-ro,
Yeongdeungpo-gu, Seoul
Tel: +822 3770 2000

Hong Kong

Yuanta Financial (Hong Kong) Limited
Suite 22D, 24/F Block D, Mai Luen Industrial Bldg,
23-31 Kung Yip Street, Kwai Chung, N.T. Hong Kong
Tel: +852 6388 1870

Cambodia

Yuanta Securities (Cambodia) Plc.
4th Floor, Emerald Building, No.64 (corner St. 178),
Preah Norodom Blvd, Sangkat Chey Chumneah, Khan
Daun Penh, Phnom Penh, Cambodia
Tel: +855 23 860 800

Yuanta Securities (Korea)